universidade de aveiro

Corporate Governance

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What is corporate governance?

- Corporate governance is the framework of rules, practices, and processes used to direct and manage a company.
- A company's board of directors is the main force that influences corporate governance.
- Poor corporate governance can destroy a company's operations and ultimate profitability.
- The basic principles of corporate governance are accountability, transparency, equity, responsibility and risk management.

Benefits of Corporate Governance

Good corporate governance creates transparent rules and controls, guides leadership, and aligns the interests of shareholders, directors, managers, and employees.
Helps build trust with investors, the community, and public officials.

Corporate governance is able to give investors and stakeholders a clear idea of a company's direction and business integrity.
It promotes financial viability, opportunities and long-term returns.
It can make it easier to raise capital.

Good corporate governance can translate into higher share prices.

It can reduce the potential for financial losses, waste, risks, and corruption.
It's a game plan for resilience and long-term success.

1. Introduction to Corporate Governance

Definition: Corporate governance refers to the system of rules, practices, and processes by which a company is directed and controlled.

Importance: Ensures transparency, accountability, and fairness in a company's relationship with stakeholders (shareholders, management, customers, suppliers, government, and the community).

2. Legal Framework in Portugal

Portuguese Commercial Companies Code (Código das Sociedades Comerciais - CSC): Establishes the legal foundation for corporate governance.

Securities Code (Código dos Valores Mobiliários - CVM): Regulates publicly traded companies.

Corporate Governance Code: Issued by the Portuguese Securities Market Commission (CMVM), providing recommendations for best practices.

EU Regulations and Directives: Influence corporate governance practices in Portugal, ensuring compliance with European standards.

3. Corporate Governance Models

Traditional Model (Two-Tier System):

- General Meeting (Assembleia Geral)
- Board of Directors (Conselho de Administração)
- Supervisory Board or Statutory Auditor (Conselho Fiscal ou Revisor Oficial de Contas)

Anglo-Saxon Model (Single-Tier System):

- Board of Directors with an Executive and Non-Executive split
- Independent Committees (e.g., Audit, Remuneration, Risk Management)

German Model:

- Supervisory Board (Conselho de Supervisão)
- Executive Board (Diretoria Executiva)

CG - Portugal

Modelos de CG (CSC, 278º)

Modelo Latino ou Monista	Modelo Anglo-saxónico	Modelo Dualista
Conselho de Administração	Conselho de Administração	Órgão de Administração Executivo
Conselho Fiscal (Único ou..)	Comissão de Auditoria	Conselho Geral e de Supervisão
Revisor Oficial de Contas	Revisor Oficial de Contas	Revisor Oficial de Contas

CG - Portugal

Conselho de Administração

https://cgov.pt/

Conselho de Administração		
Membros Executivos	Membros não Executivos	
	Membros Independentes	Membros não Independentes

Recomendações IPCG
- Maior parte dos membros do CA devem ser não executivos
- Pelo menos 1/3 devem ser independentes

Corporate Governance – CG (Governo das Sociedades)

Corporate Governance:

- É um mecanismo de proteção dos investidores em todos os mercados
- Conjunto de mecanismos institucionais, que induzem os membros do Conselho de Administração (CA) a tomar decisões que maximizem o valor da empresa, e, consequentemente, a riqueza dos acionistas (Denis & McConnell, 2003)
- Foca-se no alinhamento de interesses entre gestores, auditores, e acionistas

Portugal:

- É um país de direito civil (*civil law*)
- Fraca proteção jurídica dos investidores
- Elevada concentração da propriedade de ações
- Transparência de informação é limitada

As questões de CG assumem um papel relevante

CG - Principais objetivos

- Alinhamento dos interesses dos gestores e dos acionistas
- Transparência nas decisões, ações e informações transmitidas aos *stakeholders*
- Responsabilização dos gestores e administradores pelas suas ações, que afetam o sucesso das empresas
- Proteção dos direitos dos acionistas e dos investidores (especialmente os minoritários)
- Melhoria da eficiência operacional, nomeadamente através de uma gestão eficaz e de uma estrutura organizacional clara
- Identificação, avaliação e gestão dos riscos associados às atividades das empresas
- Reconhecimento da importância da responsabilidade social e ambiental

Criação de valor sustentável
Ética nos negócios
Manutenção da confiança entre a empresa e os *stakeholders*

Expresso
29/12/2023

4. Key Principles of Corporate Governance

Transparency: Clear disclosure of financial and operational information.

Accountability: Well-defined responsibilities for management and directors.

Fairness: Protection of minority shareholders' rights.

Responsibility: Ethical behavior and compliance with laws and regulations.

5. Role of the Portuguese Securities Market Commission (CMVM)

Supervises compliance with corporate governance regulations.

Issues guidelines and recommendations for best practices.

Monitors financial markets and protects investors' rights.

6. Recent Developments and Trends

Increased ESG (Environmental, Social, and Governance) Focus: Companies are integrating sustainability into corporate governance strategies.

Digitalization and Cybersecurity: Emphasis on technology governance and data protection.

Shareholder Activism: Growing influence of institutional investors in governance matters.

Diversity and Inclusion: Efforts to improve gender and ethnic diversity in boardrooms.

7. Case Studies of Corporate Governance in Portugal

EDP (Energias de Portugal): Compliance with international corporate governance standards.

Galp Energia: Implementation of sustainability and ESG policies.

Banco BPI: Adaptation to European banking governance regulations.

8. Challenges and Future Outlook

- Ensuring compliance with evolving EU regulations.
- Strengthening whistleblower protections and corporate ethics.
- Enhancing board independence and effectiveness.
- Improving corporate social responsibility initiatives.

9. Conclusion

1

Corporate governance in Portugal is aligned with European and international best practices.

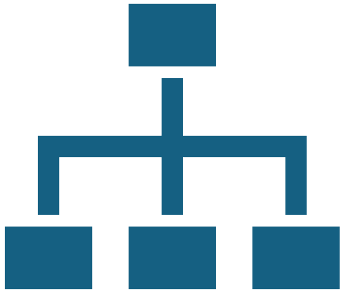
2

Continuous improvements are necessary to address emerging risks and stakeholder expectations.

3

Companies should focus on transparency, accountability, and sustainability to foster long-term success.

Corporate Governance and the Board of Directors



The Board of Directors is the main direct stakeholder that influences corporate governance. Directors are elected by the shareholders or appointed by other members of the board of directors and charged with representing the interests of the company's shareholders.

The board is charged with making important decisions, such as corporate director appointments, executive compensation, and dividend policy. In some cases, board obligations go beyond financial optimization, such as when shareholder resolutions require that certain social or environmental concerns be prioritized.

A board of directors should be composed of a diverse group of individuals, including those with corresponding business knowledge and skills, and others who can bring a fresh perspective from outside the company and the industry.

Corporate Governance and the Board of Directors

Boards of directors are often composed of a mix of internal and independent members.

Insiders are usually the main shareholders, founders, and executives. Independent directors don't share the ties that insiders have. They are usually chosen for their experience in managing or directing other large companiess.

Independents are considered useful for governance because they dilute the concentration of power and help align the interests of shareholders with those of insiders. The board of directors must ensure that the company's corporate governance policies incorporate corporate strategy, risk management, accountability, transparency and ethical business practices.

What Is a Board of Directors?

- The board of directors of a publicly traded company (listed on the stock exchange) is elected by the shareholders.
- The board makes important decisions on issues such as mergers and dividends, hires senior managers, and sets their compensation.
- Candidates for the board of directors may be nominated by the company's choice committee or by external people seeking change.
- Listed companies must have a board of directors.
- The New York Stock Exchange and Nasdaq require that a majority of the members of the boards of directors of listed companies be outside or independent directors.

What a Board of Directors Does?

- Helping a company set objectives, set important goals, and stay focused on their direction over time
- Recruitment and dismissal of senior management
- Determining Executive Compensation
- Defining a process and timeline for your interactions with the company's CEO
- Establish a comprehensive but flexible company policy for employees
- Advising executives on their planning and decision-making
- Overseeing budgets and ensuring adequate funding when significant resources are needed

What a Board of Directors Does? (cont.)

-
- Monitor and introduce necessary changes in financial and accounting activities to safeguard companies' finances and assets
- Establish a company's dividend policies
- Declare dividends and payouts
- Institute policies for stock options
- Directing mergers, acquisitions and asset divestitures
- Lead crisis management efforts
- Build and maintain a strong, long-lasting, and positive brand identity for the company and the public

Types of Boards

- **Executive Board -** The role of this board is to assume the role of an executive director (where there is none) and manage the operations of a company effectively and profitably. It acts to ensure that a company has and maintains a mission and purpose, and meets its objectives on an ongoing basis.
- **Board of Directors (Governing Board) -** The purpose of this council is to offer a business owner specific guidance related to the company's business mandate so that it can operate effectively and achieve its future goals.

Types of Boards (cont.)

- **Conselho Consultivo (Advisory Board) -** Like the board of directors, this board brings information to a company's chief executive. It offers different perspectives and experiences that can help the company achieve specific goals, such as growing a network, achieving brand recognition and connection in the community, and building a new customer segment.
- **Conselho de Angariação de Fundos (Fundraising Board) -** This council is focused on attracting funds that can help an organization achieve its goals. Board members organize various opportunities such as campaigns, special events, galas, tournaments, auctions, and more to raise money. They use their positions in the business community and personal relationships to help an organization financially.

The Principles of Corporate Governance

Equity: The board of directors must treat shareholders, employees, suppliers, and communities fairly and with equal consideration.

Transparency: The board of directors shall provide timely, accurate and clear information on aspects such as financial performance, conflicts of interest and risks to shareholders and other stakeholders.

Risk management: The board of directors and management must determine the risks of all kinds and how best to control them. They should follow up on those recommendations to manage risks and inform all stakeholders about the existence and status of risks.

Responsibility: The board of directors is responsible for overseeing corporate affairs and management activities. Must be aware of and support the successful and ongoing performance of the company. Part of your responsibility is to recruit and hire an executive officer (CEO). You must act in the best interests of a company and its investors.

Accountability: The board of directors must explain the purpose of a company's activities and the results of its conduct. He and the company's leadership are responsible for evaluating a company's capability, potential, and performance. Must communicate important issues to shareholders.

Corporate Governance Models

- 1) **The Anglo-American Model (**O Modelo Anglo-Americano)
- This model can take various forms, such as the Shareholder, Stewardship and Political Models. The shareholder model is currently the main model.
- The Shareholder Model is designed so that the board of directors and shareholders are in control. Stakeholders such as suppliers and employees, while recognized, lack control.
- Management is tasked with managing the company in a way that maximizes the interest of shareholders. Importantly, appropriate incentives should be made available to align management behavior with the objectives of the shareholders/owners.
- The model takes into account the fact that shareholders provide funds to the company and can withdraw that support if they are dissatisfied. This should keep management running effectively.
- **The board of directors will normally be composed of internal and independent members**. While traditionally the chairman and CEO may be the same, this model seeks to have two different people fill these positions.
- The success of this corporate governance model depends on permanent communication between the board of directors, the company's management and the shareholders. Important issues are brought to the attention of shareholders. The important decisions that have to be taken are put to a vote by the shareholders.
- U.S. regulators tend to be supportive of shareholders in relation to boards of directors and executive management.

Exemplos

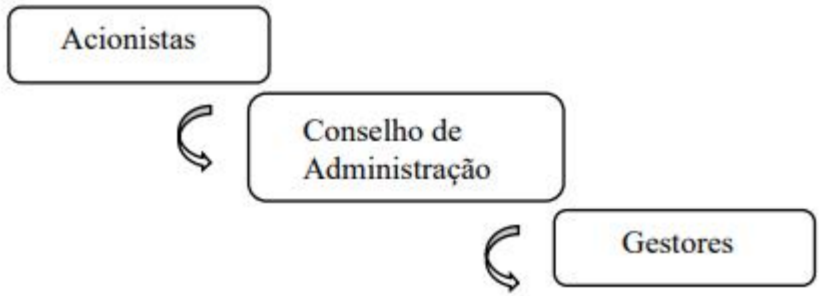


Figura 1- Estrutura do Sistema Anglo-Saxónico (Adaptado de Batista, 2009)

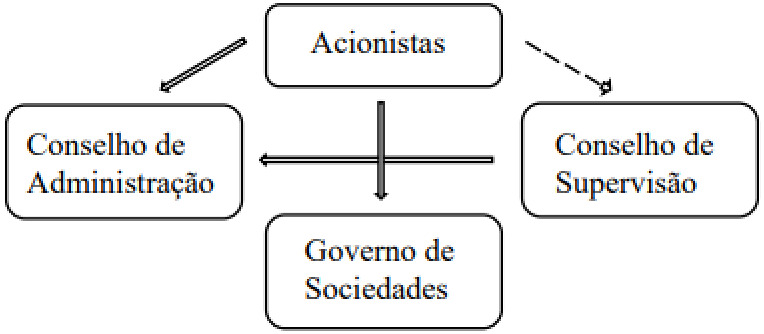


Figura 2- Estrutura do Sistema Continental (Adaptado de Batista, 2009)

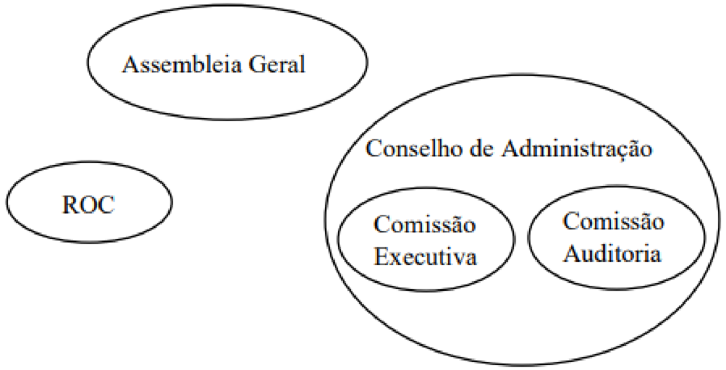


Figura 3 - Estrutura do Modelo Anglo-Saxónico (Fonte: Adaptado de Ba

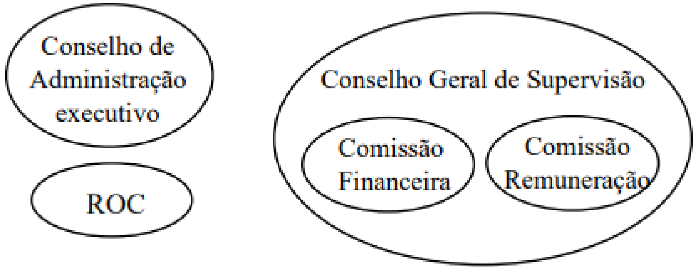


Figura 4- Estrutura do Modelo Dualista (Fonte: Adaptado de Batista, 2009)

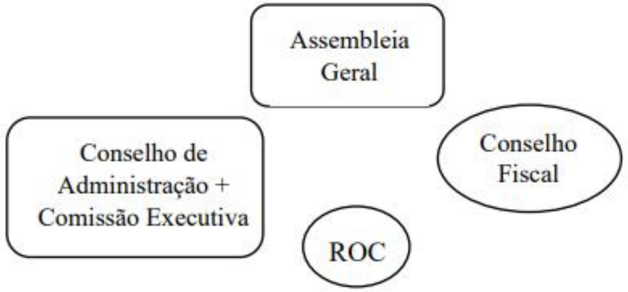


Figura 5- Estrutura do Modelo Latino (Fonte: Adaptado de Batista, 2009)

Corporate Governance Models

- 2) **The Continental Model (**O Modelo Continental)
- Two groups represent the controlling authority under the Continental Model. They are the fiscal council and the board of directors.
- In this two-tier system, **the board of directors is composed of internal members of the company, such as its executives**. **The supervisory board** It is made up of external people, such as shareholders and union representatives. Banks with shares in a company may also have representatives on the supervisory board.
- **The two councils remain entirely separate**. The size of the supervisory board is determined by the laws of a country and cannot be changed by shareholders.
- National interests have a strong influence on companies with this corporate governance model. Companies can be expected to align with the government's goals.
- This model also places a high value on the commitment of stakeholders, as they can support and strengthen a company's ongoing operations.

Corporate Governance Models

- 3) **The Japanese Model** (O Modelo Japonês)
- **The main actors of the Japanese model of corporate governance are banks, affiliated entities, large shareholders called** Keiretsu (which can be invested in joint ventures or have business relationships), administration and government. The smaller, independent individual shareholders have no role or voice. Together, these key actors establish and control corporate governance.
- **The board of directors is usually composed of internal people, including company executives**. Keiretsu may remove directors from the board if profits decline.
- The government affects corporate management activities through its regulations and policies.
- In this model, **corporate transparency is less likely due to the concentration of power and the focus on the interests of those with that power**.

How to Assess Corporate Governance?

- Good corporate governance practices:
  - Disclosure practices
  - Executive compensation structure (whether tied to performance alone or other metrics as well)
  - Risk management (checks and balances in decision-making)
  - Policies and procedures for reconciling conflicts of interest (how the company approaches business decisions that may conflict with its mission statement)
  - The members of the board of directors (their share of profits or conflicting interests)
  - Contractual and social obligations (how a company addresses issues such as climate change)
  - Supplier Relations
  - Complaints received from shareholders and how they were dealt with
  - Audits (the frequency of internal and external audits and the way in which the issues raised by those audits have been handled)

How to Assess Corporate Governance?

- **Types of bad governance practices include**:
  - Companies that do not cooperate sufficiently with auditors or do not select auditors with the appropriate scale, resulting in the publication of spurious or non-compliant financial documents
  - Executive compensation packages that fail to create an optimal incentive for corporate directors
  - Poorly structured boards of directors that make it too difficult for shareholders to oust ineffective incumbents.

Useful links

- https://cgov.pt/o-ipcg
- https://www.ecgi.global/content/corporate-governance-portugal
- Código de governação corporativa em PT: https://www.ecgi.global/code/corporate-governance-code-2018
- https://www2.deloitte.com/pt/pt/pages/risk/topics/center-for-corporate-governance-portugal.html
- https://gfdl.legal/overview-of-portuguese-corporate-governance/
- https://dissertationsage.co.uk/corporate-governance-dissertation-topics/
- https://www.thecorporategovernanceinstitute.com/insights/lexicon/what-is-corporate-governance/

Governance Models of Portuguese companies listed on the PSI

- the Anglo-Saxon model is composed of the Board of Directors, audit committee and single auditor;
- the dualist model is composed of the general and supervisory board, CA and ROC and in the Latin model the management structure is made up of the CA and CE and the supervisory structure is composed of the Fiscal Council and ROC, the latter being an independent member.
- In the monist model (reinforced Latin) the management structure is centralized in the Board of Directors, the inspection structure is centered on a Fiscal Council and a ROC dependent on the Fiscal Council, thus called Single Auditor,
- while in the Latin model the management structure is constituted by the Board of Directors and the EC and the inspection structure is composed of the Fiscal Council and ROC

Quadro 1	
Empresas	**Modelos**
Altri SGPS	Latino
BPI	Latino
BANIF	Anglo-saxónico
BCP	Latino
CTT	Anglo-saxónico
EDP	Dualista
EDP Renováveis	Espanhol
Galp Energia	Latino
Impresa	Latino
Jerónimo Martins	Anglo-saxónico
Mota-Engil	Latino
NOS	Latino
PHAROL	Anglo-saxónico
Portucel	Latino
REN	Anglo-saxónico
Semapa	Latino
Sonae SGPS	Latino
Teixeira Duarte	Latino

CG Theories

- There are several theories on the subject.
- The most relevant are Stewardship Theory, Agency Theory, and Resource Dependence Theory.
- **Stewardship Theory** argues that executives tend to act more in the interest of the organization, as an extension of themselves, than in their own interest. Executives value more the aspects of self-recognition, prestige, professional achievement, responsibility, altruism, beliefs, respect for authority and intrinsic motivation for satisfaction in the performance of their tasks.

CG Theories

- In contrast, **Agency Theory** addresses the separation between ownership and management, based on the motivation of individual actors. The main question is: how do shareholders prevent managers from maximizing their own utility? As markets are inefficient, particularly in terms of information asymmetries, agency theorists consider that managers tend to defend their interests and not those of shareholders. Equilibrium is only achieved when top managers hold shares in companies. Like stewardship theory, it privileges the interior of the organization.

CG Theories

- The **Resource Dependence Theory** takes into account the open systems in which organizations operate, the transactions with the environment and the constraints that arise from networks of interdependence with other organizations: corporate governance refers to the construction of successful organizations that have structures and interests that relate efficiently to their surroundings.

CG Theories

- The main developments, however, have focused on the Agency Theory: not only is it the most developed, but it is the theory on which most of the corporate governance models and processes are based. Jensen and Meckling refer to the contract between the owner-manager and the shareholders as the agency relationship. They define the agency relationship as a contract under which one or more principals hire other individuals (the agents) to perform some service on behalf of the principals, which involves the power to delegate some decision-making to the agent. In this way, the field of application of this theory was extended to all forms of cooperation, avoiding the problem of identifying the principal and the agent.

Measuring CG

- https://www.emerald.com/insight/content/doi/10.1108/02686900710819625/full/html#idm45953752696304

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22,8

750

Variables	Abbreviation	Retained measure
Directors and officers ownership	D&O own	Percentage of capital owned by the directors and officers
Institutional ownership	INSTIT own	Percentage of capital owned by institutional investors
Investment opportunities	INVES	Capital expenditures/total assets[a]
External financing needs	FINAN	Total debt/total assets
Intangible assets	INTANG	Research and development expenses/total assets
Firm size	SIZE	Logarithm of total assets
Growth	GROW	Growth of sales
Tobin's *Q*	*Q*	Market value of assets/book value of assets

Note: [a]Investment (INVES) is used to represent the amount of capital expenditures a firm makes in procuring assets to provide future benefits to the firm. Investment is measured by the annual expenditure on tangible assets scaled by total assets to take into account the size of the firm

Table I.
List of firm characteristics variables

Variables	Retained measure
Board size	Total number of directors
Outside directors	Ratio of outside directors to total members of board members
Board meetings	Number of the board meetings
Separate chair dummy	Indicator variable with value of 1 if the same person holds the roles of chair and CEO
Existence of a compensation committee	Indicator variable with value of 1 if the compensation committee exist
Existence of a nominating committee	Indicator variable with value of 1 if the nominating committee exist
Meetings of the nominating committee	Number of the nominating committee's meetings
CEO not on the nominating committee	Indicator variable with value of 1 if the CEO is not a member of the nominating committee
Meetings of the compensation committee	Number of the nominating committee's meetings
CEO not on the compensation committee	Indicator variable with value of 1 if the CEO is not a member of the compensation committee
Existence of an audit committee	Indicator variable with value of 1 if the audit committee exist
Audit committee size	Size of the audit committee
Audit committee meetings	Meetings of the audit committee
Auditor is a Big 4	Indicator variable with value of 1 if the auditor is a Big 4
Members' financial expertise	Indicator variable with value of 1 if at least one audit member has financial expertise

Table II.
List of governance variables

Measuring CG & BF

- **Managerial overconfidence (MOC)**
- To measure MOC, several researchers attempt to use different proxies, for instance CEO's shareholdings [61] and [46]; mass media comments [11], corporate earnings forecast [36], executive compensation [38], and managers individual characteristics index [53]. Among these, the researcher decided to follow a study conducted in emerging markets [55] and used corporate earnings forecasts as a better indicator of managerial overconfidence. If a company's actual earnings are lower than the earnings expected by managers, the managers are defined as overconfident with a dummy variable of (1), and as not overconfident (0) otherwise.

- **Control variables**
- The study contains three control variables: firm size, firm age, and firm growth opportunities. **Firm size** is an important component while dealing with firm performance because larger firms have more agency issues and need strong CG. Many studies confirmed that a large firm has a large board of directors, which increases the monitoring costs and affects a firm's value (Choi et al., 2007). In other ways, large firms are easier to generate funds internally and to gain access to funds from an external source. Therefore, firm size affects the performance of firms. Firm size can be measured in many ways; common measures are market capitalization, revenue volume, number of employments, and size of total assets. In this study, firm size is measured by the logarithm of total assets following a previous study. **Firm age** is the number of years that a firm has operated; it was calculated from the time that the company first appeared on the Chinese exchange. It indicates how long a firm in the market and indicates firms with long age have long history accumulate experience and this may help them to incur better performance [8]. Firm age is a measure of a natural logarithm of the number of years listed from the time that company first listed on the Chinese exchange market. **Growth opportunity** is measured as the ratio of current year sales minus prior year sales divided by prior year sales. Sales growth enhances the capacity utilization rate, which spreads fixed costs over revenue resulting in higher profitability [49].

Ver artigo: https://link.springer.com/article/10.1186/s43093-021-00093-6

Measuring CG & BF:

- **Firm performance**
- To measure firm performance, prior studies have been used different proxies, by classifying them into two groups: accounting-based and market-based performance measures. Accordingly, this study measures firm performance in terms of accounting base (return on asset) and market-based measures (Tobin's Q). The ROA is measured as the ratio of net income or operating benefit before depreciation and provisions to total assets, while Tobin's Q is measured as the sum of the market value of equity and book value of debt, divided by book value of assets.
- **Board independent (BIND)**
- Independent is calculated as the ratio of the number of independent directors divided by the total number of directors on boards. *I*ndependent directors are defined as the "directors who hold no position in the company other than the position of director, and no maintain relation with the listed company and its major shareholders that might prevent them from making objective judgment independently." In line with this definition, many previous studies used a proportion of independent directors to measure board independence.
- **CEO Duality**
- CEO duality refers to a position where the same person serves the role of chief executive officer of the form and as the chairperson of the board. CEO duality is a dummy variable, which equals 1 if the CEO is also the chairman of the board of directors, and 0 otherwise.
- **Ownership concentration (OWCON)**
- The most common way to measure ownership concentration is in terms of the percentage of shareholdings held by shareholders. The percentage of shares is usually calculated as each shareholder's shareholdings held in the total outstanding shares of a company either by volume or by value in a stock exchange. Thus, the distribution of control power can be measured by calculating the ownership concentration indices, which are used to measure the degree of control or the power of influence in corporations [88]. These indices are calculated based on the percentages of a number of top shareholders' shareholdings in a company, usually the top ten or twenty shareholders. Following the previous studies [22], Wei Hu et al. [37], ownership concentration is measured through the total percentage of the 10 top block holders' ownership.
- **Product market competition (PMC)**
- Previous studies measure it through different methods, such as market concentration, product substitutability and market size. Following the previous work in developed and emerging markets [product substitutability [31, 57], the current study measured using proxies of market concentration (Herfindahl–Hirschman Index (HHI)). The market share of every firm is calculated by dividing the firm's net sale by the total net sale of the industry, which is calculated for each industry separately every year. This index measures the degree of concentration by industry. The bigger this index is, the more the concentration and the less the competition in that industry will be, vice versa.
- **Debt Financing (DF)**
- The debt financing proxy in this study is measured by the percentage of a total asset over the total debt of the firm following the past studies [69, 95].

Overconfidence: https://www.sciencedirect.com/science/article/pii/S221484502300162X

- In the finance literature, an overconfident manager is defined as an individual who consistently overestimates the prospective returns stemming from the firm's projects. Alternatively, such a manager habitually overestimates both the probability and magnitude of favorable occurrences influencing the cash flows of the company. Simultaneously, there is a tendency to underestimate the likelihood and impact of adverse events on the cash flows of the firm (Ahmed & Duellman, 2013). For instance, Statman and Tyebjee (1985, pp. 27–33) discovered that managers typically display excessive optimism when making projections related to costs and sales.

- As research on the Upper Echelons Theory has progressed, the development of proxies for individual executive traits has also advanced. Firstly, researchers have employed managerial fixed effects to accommodate individual executive characteristics (e.g., Dyreng et al., 2010; Ge et al., 2011). Secondly, they have used personality traits to infer from managerial actions, such as the analysis of option-exercise behavior (e.g., Hribar & Yang, 2016). Thirdly, they have predicted personality traits based on background and experience (e.g., Sunder et al., 2017). Lastly, they have administered personal inventory scales through surveys to infer personality traits (e.g., Milfont & Sibley, 2012).

- In recent years, various novel approaches to exploring personality traits have surfaced, such as managerial picture analysis (Huang et al., 2022), managerial signatures (Duong et al., 2021), machine-learning algorithms (Hrazdil et al., 2020), Bayesian network theory (Hatoum et al., 2022), and others. Concurrently, with the advancements in personality measurement techniques, research on the economic consequences of managerial overconfidence is also expanding. Prior studies indicate that managerial overconfidence significantly influences corporate behavior, encompassing areas such as corporate innovation, investment decisions, financing choices, mergers and acquisitions, management forecasts, dividend policy, debt maturity structure, earnings management, cash holdings, corporate governance, and related domains (Aktas et al., 2019; Deshmukh et al., 2013; Galasso & Simcoe, 2011; Goel & Thakor, 2008; Goel & Thakor, 2008, 2008; Ho et al., 2016; Hribar & Yang, 2016; Hsieh et al., 2014; Malmendier et al., 2011; Malmendier & Tate, 2005, 2008; Ting et al., 2016).

- In addition to corporate behavior, studies also show that corporate performance is closely associated with managerial overconfidence, including investment efficiency, innovation efficiency, stock price crash risk, long-term performance, firm value, corporate goodwill, cost stickiness, audit fees, and so on (Chen et al., 2013, 2014; Chung & Hribar, 2021; Duellman et al., 2015; Gao & Han, 2022; He et al., 2019; Hirshleifer et al., 2012; Kim, Wang, et al., 2016).

CG & SMEs

- https://www.nber.org/system/files/working_papers/w27635/w27635.pdf
- Em: https://www.emerald.com/insight/content/doi/10.1108/CG-04-2023-0135/full/html

Table 4 Corporate governance indicators impact

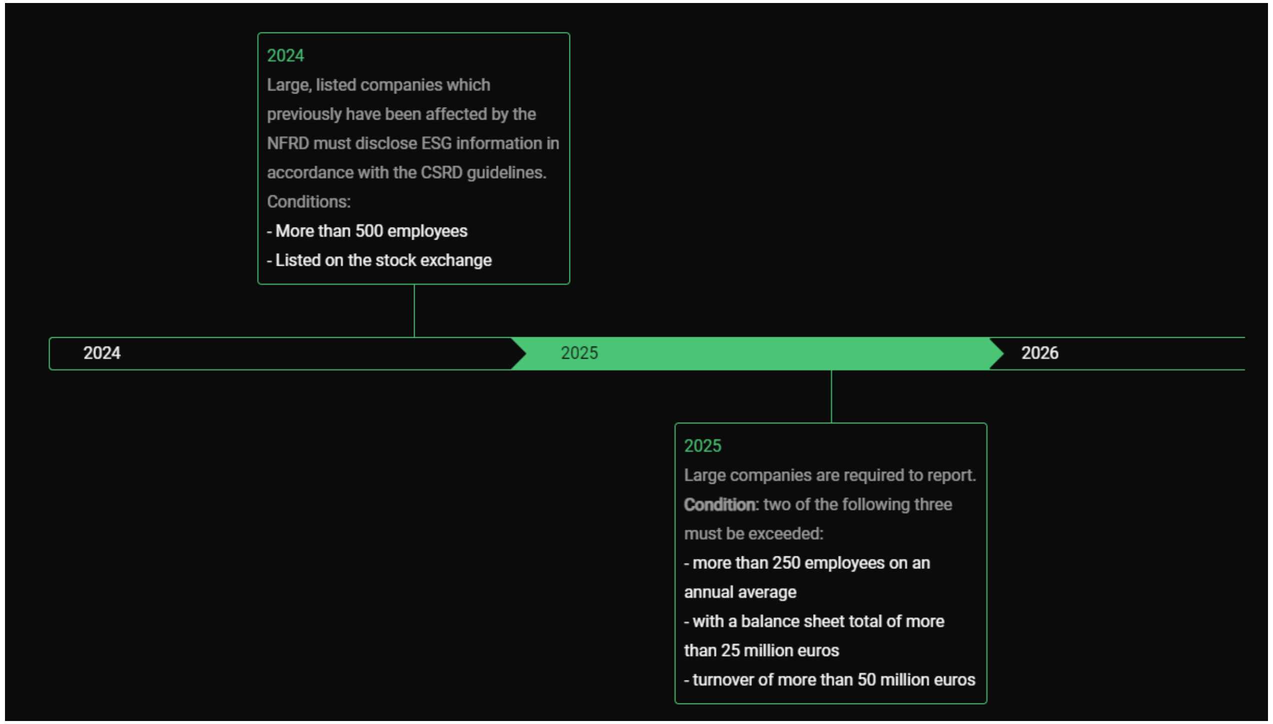
		Age	*Board*						*Ownership*			*CEO*				*Audit*
Research	*Authors*	*Firm age*	*Board size*	*Board diversity*	*Board independence*	*Board meetings*	*Board skill level*	*Presence of NEDs*	*Familiness*	*Ownership concentration*	*Foreign ownership*	*CEO outside*	*CEO age*	*CEO duality*	*CEO tenure*	*Independence auditor*
Performance	Martín-Ugedo and Minguez-Vera (2014)			+												
	Mínguez-Vera and Martin (2011)			–												
	Arosa *et al.* (2013)		–									–				
	Shehata *et al.* (2017)			–												
	Maseda *et al.* (2015)											+				
	La Rosa and Bernini (2018)		+							–						
	Sûsi and Lukason (2019)												+	+		
Board	Karoui *et al.* (2017)									+				+		
	Gnan *et al.* (2015)					+			+							
	Neville (2011)						+					+				
	Abor and Biekpe (2006)		–	+			+							+		
	Singh and Pillai (2022)		+/–	+/–	+/–	+/–		+/–		+/–	+/–		+/–	+/–	+/–	
Profitability	Abor and Biekpe (2007)		+				+		+	+	+			+		
	Roffia *et al.* (2022)	–	+			+		+	+					+		
Innovation	De Cleyn and Braet (2012)		–	+			+									
	Shapiro *et al.* (2015)				+					+		+				
	Brunninge *et al.* (2007)		+									+				
Internationalization	Zahra *et al.* (2007)									+						
Audit	Al-Najjar (2018)		+		+											+

Note: "+" means positively significant and "–" means negatively significant); NEDs = non-executive directors
Source: Elaborated by authors

Environmental	Social	Governance
Company Carbon Emissions	Human capital	Corporate governance
Carbon footprint of products	Labor management	Diversity on boards of directors
Environmental impact of funding	Health and safety	Executive compensation
Vulnerability to climate change	Human capital development	Property
Use of natural resources	Vulnerability to climate change	Accounting
Use of water resources	Liability for defective products	Corporate behavior
Biodiversity and land use	Product safety and quality	Business ethics
Raw material sourcing	Chemical safety	Anti-competitive practices
Pollution and waste	Security of financial products	Corruption and instability
Toxic emissions and waste	Data Privacy and Security	Instability of the financial system
Packaging material and waste	Responsible investment	Tax transparency
Electronic waste	Demonstration Health and Risk	Diversity on the Board of Directors
Opportunities in clean technologies	Stakeholder opposition	Independence of the Board of Directors
Opportunities in green building	Controversial source	Incentivized Payment
Opportunities in renewable energy	Social opportunity	Collective bargaining
GHG emissions	Access to communication	Supplier Code of Conduct
Emissions intensity	Access to finance	Ethics and Anti-Corruption
Energy Utilization	Access to health care	Data privacy
Energy Intensity	Opportunities in nutrition and health	ESG Reporting
Energy mix	CEO Compensation Ratio	Disclosure practices
Water Use	Gender pay ratio	External guarantee
Environmental Operations	Employee turnover; Gender Diversity	
Climate Surveillance v Council	Temporary Worker Ratio	
Climate Supervision/Management	Non-discrimination; Injury rate; Global Health and Safety	
Mitigating climate risks	Child and Forced Labor; Human rights	

CG on CSRD

- The Corporate Sustainability Directive (CSRD)
- The CSRD is a proposed directive by the European Commission aimed at enhancing corporate sustainability reporting standards within the European Union (EU).
- The directive aims to address the growing demand for companies to disclose transparent and reliable information regarding their environmental, social, and governance (ESG) performance and is replacing the Non-Financial Reporting Directive (NFRD), which has been in force since 2014.



- https://onlinelibrary.wiley.com/doi/epdf/10.1002/ijfe.2663

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TABLE 1 Summary of variables and measures.

Dependent variables	
CSRS	Corporate social responsibility score which is the average of 3 CSR dimensions (i.e. economic, social and environmental scores)
ECOS	Economic score; DataStream defines this variable as "*The economic pillar measures a company's capacity to generate sustainable growth and a high return on investment through the efficient use of all its resources. It is reflection of a company's overall financial health and its ability to generate long term shareholder value through its use of best management practices*" (DataStream guide) (code: ECNSCORE)
ENVS	Environmental score; DataStream defines this variable as "*The environmental pillar measures a company's impact on living and non-living natural systems, including the air, land and water, as well as complete ecosystems. It reflects how well a company uses best management practices to avoid environmental risks and capitalize on environmental opportunities in order to generate long term shareholder value*"(DataStream guide) (code: ENVSCORE)
SOCS	Social score; DataStream defines this variable "*The social pillar measures a company's capacity to generate trust and loyalty with its workforce, customers and society, through its use of best management practices. It is a reflection of the company's reputation and the health of its licence to operate, which are key factors in determining its ability to generate long term shareholder value*" (DataStream guide) (code: SOCSCORE)

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Independent variables

CGS	Corporate governance score; DataStream defines this variable as "*The corporate governance pillar measures a company's systems and processes, which ensure that its board members and executives act in the best interests of its long term shareholders. It reflects a company's capacity, through its use of best management practices, to direct and control its rights and responsibilities through the creation of incentives, as well as checks and balances in order to generate long term shareholder value*" (DataStream guide) (code: CGVSCORE)
ISHR	The percentage of total shares owned by investment banks or institutions. In general, only holdings of 5% or more are counted as strategic (code: NOSHIC)
PSHR	The percentage of strategic share holdings of 5% or more owned by pension funds or endowment funds (code: NOSHPF)
MSHR	The percentage of total shares owned by employees, or by those with a substantial position in a company (code: NOSHEM)
COMPCNT	A dummy variable = 1 if the company have an ESG related compensation policy and 0 otherwise (code: CGCPDP0013)
EXCOMP	Log of the total value of the stock based compensation of employees during the year as reported by the company (code: SOEQDP024)

CG & CSR

Control variables	
FSIZE	Natural log of book value of total assets (code: wc02999)
ROE	(Net income − bottom line − preferred dividend requirement)/average of last year's and current rear's common equity × 100 (code: WC08301)
LEV	Total debt/total assets (code: wc03255/wc02999)
LIQ	Current assets/total assets (code: wc02201/wc02999)
MTB	This is defined as the market value of the ordinary (common) equity divided by the balance sheet value of the ordinary (common) equity in the company (code: MTBV)

CG & Fraud

- https://link.springer.com/article/10.1007/s11301-021-00244-7

Table 1 List of included corporate governance variables

Group level	Individual level	Firm level	Institutional level
Board composition:	*CEO/CFO characteristics:*	*Ownership structure:*	*Legal enforcement:*
Managerial ability; executive skills	CEO pay ratio; CEO (equity-based) compensation; CEO pay for performance sensitivity	Blockholder; ownership Concentration; nature of blockholder; diffused ownership	PCAOB inspection reports for Triennially inspected auditors; PCAOB Part II Reports (annually inspected firms); initial PCAOB inspection
Founders on the board	CEO in-the-money option value	(dedicated) institutional ownership	Clients of annually PCAOB inspected firms relative to clients of triennially Inspected firms
Foreign (independent) directors	CEO inside debt holdings	heterogeneity in investor optimism regarding firm-Specific attributes	Tax enforcement efforts
Academic experience of executives; academic independent directors	CEO/CFO pay structure; CEO/CFO (equity) Compensation	Family ownership	Shareholder rights index (G-index)
Background homogeneity of executives	CEO power	State ownership	U.S. circuit court ruling that made it easier for public corporations to defend against security class actions
Long-shared working experience of executives; international experience; (accounting) competence of executives	CEO duality	Foreign ownership	PCAOB's Restrictions on Auditors' Tax Services
Board interlocks (to misstating firms); independent directors' connections to fraud Firms	CEO employment, education, and other social network connections; CEO and/or chairman political connections; CEO connections with top four non-CEO executives and directors through their appointment decisions	*Monitoring by other stakeholders:*	
board (audit committees) ratio of independent directors who reside close to a firm's headquarters	CEO as Ex-military member	Industry expertise and monitoring effectiveness of financial analyst coverage	
external social connectedness of independent directors	CEO functional experience	Forecast signal indicates a greater difference between analysts' and auditors' earnings expectations; analyst forecast signal indicates a greater likelihood of income increasing earnings management	
(long-term) political connections of executives through contributions and lobbying; political connections	CEO business degree	Securities analysts Recommendations	
Multiple directorships	CFO gender	Labor union strength	
malays director on the board	CEO age	Public governance	
Board age	CEO/CFO tenure		
Board gender diversity	CEO hubris; CEO narcissism; CEO overconfidence; CFO narcissism		
Board independence (index); independence of the nomination committee/audit committee; outside board members	Vocal markers of cognitive dissonance (CEO during earnings conference calls)		
Independent directors with more experience and Longer tenure	CEO/CFO outside directorships and network ties to auditors		
Board functioning	CFO inside directorship		
Board size			
Board meeting Frequency			
supervisory board size and meetings			
Board compensation:			
Executive compensation			
Managerial ownership			
Tournament incentives (pay disparities)			
Managers' and supervisors' pay to performance sensitivities from stockholdings			
Stock ownership by supervisory boards			
Firm-initiated clawback provisions; clawback provision strength index			
Audit committees:			
Audit committee information technology expertise; audit committee financial expertise; audit committee accounting and industry expertise; supervisory board expertise; audit committee financial and industry expertise; audit committee accounting expertise			
Accounting expertise of audit and compensation committees;			
audit committee (gender) diversity			
Audit committee Cultural diversity			
Audit committee effectiveness			
Tenure-diverse audit committees; independent audit committee tenure			
Independent audit committee multiple-directorships			
Audit committee co-option			
audit committee member on the board of a firm that disclosed a restatement within the prior three years or with material internal control weaknesses			
Audit committee connectedness through director networks			
Audit committees with an odd number of directors			
Audit committee independence			
Audit committee diligence			
Internal audit function:			
Internal audit quality			
Internal audit executive's supervisory ability			

CG & ESG & CSR

- https://onlinelibrary.wiley.com/doi/epdf/10.1002/ijfe.2625

TABLE 1 A summary table of all variables

Variable	Description	References for definition	Calculation	Ref for calculation
CSR Net Tone (H08)	Net tone of CSR narratives (H08)	Henry (2008)	Aggregate ESG commentary – Net tone ([nr of positive words – nr of negative words]/[nr of positive words + nr of negative words])	Henry & Leone, 2016
CSR Net Tone (LM11)	Net tone of CSR narratives (LM11)	Loughran and Mcdonald (2011)	Aggregate ESG commentary – Net tone ([nr of positive words – nr of negative words]/[nr of positive words + nr of negative words])	Loughran & McDonald, 2016
BRD_SZ	Board size	Lipton & Lorsh, 1992; Jensen, 1993; Yermack, 1996; Wang & Hussainey, 2013; Albitar, 2015; Elshandidy & Neri, 2015; Allini et al., 2016; Elgammal et al., 2018; Haj Salem et al., 2019	LN (number of directors on the board)	Allegrini & Greco, 2011; Javaid Lone et al., 2016 and Husted & Sousa-Filho, 2018; Orazalin, 2019; Albitar et al., 2020
PCT_INED	Independent non-executive directors	Abrahamson & Park, 1994; Abraham & Cox, 2007; Lopes & Rodrigues, 2007; Srinidhi et al., 2011; Albitar, 2015; Elshandidy et al., 2015; Allini et al., 2016	Independent non-executive directors/board size	Lim et al., 2007; Albitar, 2015; Samaha et al., 2015; Haj Salem et al., 2019
PCT_BRD_WOMEN	Women on board	Van der Walt & Ingley, 2003; Adams & Ferreira, 2009; Srinidhi et al., 2011; Ntim et al., 2013; Allini et al., 2016; Martikainen et al., 2019; Albitar et al., 2020; González et al., 2020	Female directors/board size	Adams & Ferreira, 2009; Giannarakis et al., 2014; and Husted & Sousa-Filho, 2018; Albitar et al., 2020
AUDCOM_SZ	Audit committee size	Barako et al., 2006; Allegrini & Greco, 2011; Li et al., 2012; Albitar, 2015; Haj Salem et al., 2019	No. of directors on the audit committee	Li et al., 2012; Haj Salem et al., 2019
ESG	ESG disclosure	Yoon et al., 2018; Aboud & Diab, 2018; Brooks & Oikonomou, 2017; Albitar et al., 2020	ESG disclosure score provided by Bloomberg is based on the available information in the annual reports, corporate social responsibility reports, and firms' websites. Further, this score ranges from 0.1 for firms that disclose a minimum amount of ESG data to 100 for those that disclose every data point	Nollet et al., 2016 and Manita et al., 2018; Albitar et al., 2020

TABLE 1 (Continued)

Variable	Description	References for definition	Calculation	Ref for calculation
LN_TRNOVR	Firm size	Bernardi & Stark, 2018; Aouadi & Marsat, 2018; Kao et al., 2018; Aboud & Diab, 2018	Natural logarithm of sales revenue (turnover)	Bernardi & Stark, 2018; Aouadi & Marsat, 2018; Kao et al., 2018; Aboud & Diab, 2018
FNCL_LVRG	Financial leverage	Bernardi & Stark, 2018; Aouadi & Marsat, 2018; Kao et al., 2018; Aboud & Diab, 2018	Total debt/total equity	Bernardi & Stark, 2018; Aouadi & Marsat, 2018; Kao et al., 2018; Aboud & Diab, 2018
ROA	Return on assets	Bernardi & Stark, 2018; Aouadi & Marsat, 2018; Kao et al., 2018; Aboud & Diab, 2018	Net income/total assets	Bernardi & Stark, 2018; Aouadi & Marsat, 2018; Kao et al., 2018; Aboud & Diab, 2018

CG & Greenwashing

- https://onlinelibrary.wiley.com/doi/epdf/10.1002/csr.2488
- Our study aims to uncover the board's role in the relationship between greenwashing and firm value. Using a two-way fixed effects model and a series of robustness tests, our findings suggest that greenwashing increases firm value. We introduce board diversity to answer the question of who is driving greenwashing behavior. Female directors, age diversity, educational background, and shareholder aggregation inhibit greenwashing behavior, while local directors and political connections promote this effect. Greenwashing increases firm value by improving the quality of disclosure, stakeholder concerns and alleviating financing constraints. Finally, greenwashing has greater economic performance for heavily polluting firms, firms audited by the Big 4 and firms with mandatory disclosure. This study provides rich empirical findings for boards and greenwashing behavior, offering novel theoretical insights to promote substantive CSR and board governance in developing countries such as China.

Good CG topics

- The applicability of sound corporate governance principles in family control and concentrated ownership
- Practices of corporate governance, business performance, and risk? Are these connected?
- Disclosures about market risk and corporate structure
- How and why is an impartial audit important?
- What factors affect the amount and quality of CSR?
- Usefulness to individual investors of yearly reports.
- Can board diversity affect how information is disclosed?
- How does the mandated disclosure of derivatives affect CEO pay and earnings smoothing?
- Earnings management and implementing IRFS
- Corporate governance and Islamic Financial Services Board Standard
- Risk, risk management, and internal control disclosure in financial analysts' eyes
- Does culture matter when it comes to the role of ethnic directors in corporate social responsibility?
- List the main corporate governance business principles.
- A new ownership structure and model are essential for enhancing company performance.
- Greenwashing and CG characteristics
- Exploring the different CG models in Euronext quoted firms: influence over financial performance, earnings management, capital structure, etc....
- What are a country's key causes of the global recession? Describe how corporate governance fits into this process.
- What effects do the current corporate governance practices have on the internal relationships between managers and employees within the company?
- Dependencies between popular management philosophies and current corporate governance procedures
- Current ownership structure models affect a company's ability to succeed on the corporate level.
- Effective use of corporate governance procedures in banks. What are the phenomenon's causes? How might the circumstances change in the future?
- European and American corporate governance rules. How are the laws different? Which laws are more efficient?
- The main cause of the global crisis and how corporate governance affected it
- Does corporate strategy in publicly traded companies increase profitability?
- The balanced scorecard's function in the contemporary corporate strategies of law firms
- How is corporate governance useful in preventing economic crises?
- Corporate governance and business ethics. How are the problems connected?
- A comprehensive perspective on the best corporate governance techniques in the developing world
- A thorough examination of good corporate governance practices and the justification for them
- Corporate governance effectiveness in state-owned businesses, Examine and contrast statistical data from various state-owned businesses.
- How do current corporate governance practices affect managerial styles?
- Corporate governance's effect on profits in African markets
- CG and SMEs: family influence
- Common Ownership, Corporate Culture, Diversity, Environmental and Social Governance (ESG), Ethics, Trust and Governance, Executive Compensation and Say on Pay, Hedge Fund Activism, Labour and Finance, Related Party Transactions, Stewardship, Sustainable Finance, Technology and Corporate Governance; Green Finance